standards are less than rigorous, and investors would be wise to be even more skeptical than usual about the reported numbers. It pays to verify that the auditor is highly credible. The job of investors is not to simply accept the GAAP numbers, but rather to question and continuously refine them to achieve greater and greater accuracy.

Another accounting challenge investors face in using book value as a means of estimating business value is the impact of share buybacks over time. Accounting standards adjust shareholder's equity down for the cost of stock repurchases, meaning that a very profitable company that regularly buys back shares with free cash flow may have a low or even negative stated book value. Accounting principles for companies that execute large share repurchases over time can easily yield a misleading result.

The whole point of forming a company is to build an enterprise that is worth much more than the sum of its parts. The goal is to grow value to a level far above book value, significantly eclipsing the cost of the physical assets held by the business. The present value of the cash flows generated by a successful business will significantly exceed the cost of forming and building it, ideally by a very substantial margin. Value is, of course, created when a business offers a reliable product or service at a reasonable price that meets the needs and aspirations of its customers. The value of a business above the balance sheet value of its hard assets can be thought of as goodwill. (Not the financial statement goodwill sometimes booked in a takeover, but the general, conversational definition of goodwill, that is, the positive feelings, or "goodwill" that a company has engendered among its customers, suppliers, and other stakeholders as expressed through loyalty, trust, and symbiotic relationships.)

Another problem with focusing on book value is that it is often embodied by an industrial model that has been significantly disrupted by technology. The book value of large manufacturing companies is of